



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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Our Ref: SFO/IS/27/2003

17 November 2003

Circular to Licensed Corporations and Associated Entities

Anti-Money Laundering / Combating Terrorist Financing

**(1) US President's Executive Order 13224; and
(2) Non-cooperative Countries and Territories**

(1) US President Executive Order 13224 ("Executive Order")

Further to our circular dated 29 October 2003, this is to inform you that the US Government has added one entity and fifteen individuals under the Executive Order. The names of these additional entity and individuals can be found in the website of the Office of Foreign Assets Control of the US Treasury www.ustreas.gov/offices/eotffc/ofac/sanctions/terrorism.html under Name of Entity Designated on 31 October 2003 and Name of Individuals Designated on 10 November 2003 respectively.

Licensed corporations and associated entities should check whether they have had transactions or dealings with the individuals and the entities named in the list. In order to fulfil the obligations under section 12 of the United Nations (Anti-Terrorism Measures) Ordinance, they should promptly notify the JFIU if such reviews reveal any suspicious accounts, transactions or dealings.

As the designated individuals and entities under the Executive Order may be updated by the US Government from time to time, licensed corporations and associated entities are reminded to browse the website of the Office of Foreign Assets Control of the US Treasury regularly for the latest information.

(2) Non-cooperative Countries and Territories

The Financial Action Task Force on Money Laundering ("FATF") regularly updates its list of non-cooperative countries and territories ("NCCTs"). The latest NCCTs list released by FATF on 3 November 2003 is as follows:

Cook Islands	Indonesia	Nigeria
Egypt	Myanmar	Philippines
Guatemala	Nauru	Ukraine



17 November 2003
Circular to Licensed Corporation and Associated Entities
Page 2

Intermediaries and, where applicable, their associated entities are advised to give special attention to business relationships and transactions with persons, including companies and financial institutions, from the above NCCTs, in accordance with Recommendation 21^{Note} of the FATF Forty Recommendations. In addition, the FATF recommends the application of counter-measures against Myanmar with effect from 3 November 2003. These counter-measures, as applicable in the Hong Kong context, are detailed in Appendix 1. The updated list of suspicious activity indicators including Myanmar and other NCCTs in Appendix 2 should be used to help identify suspicious transactions which are reportable to the Joint Financial Intelligence Unit for prompt investigation in order to ensure compliance with the Guidance Note issued by SFC on Prevention of Money Laundering and Terrorist Financing.

As the NCCTs list designated by the FATF and those subject to counter-measures may be updated from time to time, intermediaries and, where applicable, their associated entities are reminded to browse the FATF website www.fatf-gafi.org regularly for the latest information.

The SFC will alert intermediaries of changes to the list and FATF's recommended counter-measures, if any, through circulars in due course.

Should you have any queries regarding the contents of this circular, please contact Ms Madonna Yip on 2842-7618.

Intermediaries & Investment Products
Securities and Futures Commission

^{Note} Recommendation 21: Financial institutions should give special attention to business relationships and transactions with persons, including companies and financial institutions, from countries which do not or insufficiently apply the FATF Forty Recommendations. Whenever these transactions have no apparent economic or visible lawful purpose, their background and purpose should, as far as possible, be examined, the findings established in writing, and be available to help supervisors, auditors and law enforcement agencies.



Application of FATF counter-measures in the Hong Kong context

Background

The anti-money laundering regime of Myanmar is found to suffer from the following serious deficiencies:

- Although The Control of Money Laundering Law (CMLL) creates a framework for anti-money laundering measures since June 2003, there are no provisions to enhance international co-operation, particularly mutual legal assistance. Because portions of the law are basic, it will either need to be expanded or partnered with detailed regulations to make the provisions effective;
- Rules that would implement CMLL still need to be drafted and issued;
- CMLL does not criminalise unauthorised disclosure of suspicious transaction reports;
- Further legislative work may be necessary to fully address the regulatory and supervisory functions of the central bank

The deficiencies in the counter-money laundering systems of Myanmar have caused the country to be identified by the FATF as non-cooperative in the global fight against money laundering.

In October 2003, the FATF considered that inadequate progress had been made by Myanmar in addressing the deficiencies identified earlier. Specifically, the FATF called on its members to apply further counter-measures as of 3 November 2003 against Myanmar, unless its government introduced Mutual Legal Assistance Legislation into parliament and issued comprehensive implementing rules and regulations for the CMLL by that time.

Therefore, in addition to the application of Recommendation 21, the FATF recommended the application of further counter-measures to Myanmar. Such counter-measures should enhance surveillance and reporting of financial transactions and other relevant actions involving Myanmar, including the possibility of:

- Stringent requirements for identifying clients and enhancement of advisories, including jurisdiction-specific financial advisories, to financial institutions for identification of the beneficial owners before business relationships are established with individuals or companies from the country;
- Enhanced relevant reporting mechanisms or systematic reporting of financial transactions on the basis that financial transactions with Myanmar are more likely to be suspicious;



- In considering requests for approving the establishment in FATF member countries of subsidiaries or branches or representative offices of banks, taking into account the fact that the relevant banks is from Myanmar, which is an NCCT;
- Warning non-financial sector business that transactions with Myanmar, which is an NCCT, might run the risk of money laundering.

Application of FATF counter-measures in the Hong Kong context

Hong Kong, being one of the FATF members, is obliged to follow FATF's decision to impose counter-measures against Myanmar. As such, intermediaries and, where applicable, their associated entities are advised to make additional efforts in the following areas in respect of transactions with Myanmar:

1. For new customers from Myanmar, intermediaries and, where applicable, their associated entities should clearly ascertain the customers' background and the expected level and nature of account activities. A supervisory officer (who does not normally have to be involved) should sign to approve the opening of such accounts.
2. Intermediaries and, where applicable, their associated entities are advised not to accept new accounts opened through intermediaries such as lawyers, accountants and company formation agents, etc, that only operate in Myanmar, particularly if the holders or beneficial owners of such accounts originate from Myanmar. In any case, intermediaries and, where applicable, their associated entities should ascertain from the intermediaries information regarding the customers' background and the expected level and nature of account activities as mentioned above.
3. Intermediaries and, where applicable, their associated entities are advised not to accept new accounts opened through intermediaries, e.g. lawyers, accountants and company formation agents, etc. that only operate in Myanmar without having completed proactive verification procedures and assessment of the risk of money laundering, particularly if the holders or beneficial owners of such accounts originate from Myanmar. They should accept new accounts from Myanmar only if they are satisfied about the customers' background and the source of funds after having obtained satisfactory evidence thereof and ascertained the expected level and nature of account activities.
4. Relevant staff of intermediaries and, where applicable, their associated entities should pay special attention to the on-going monitoring of the activities of new accounts with Myanmar. Significant deviations from the expected level and nature of activities (ascertained upon account opening) should be followed up and reported to the JFIU immediately if deemed appropriate.
5. Besides the Guidance Note issued by the SFC on Prevention of Money Laundering and Terrorist Financing, intermediaries and, where applicable, their associated entities, should also refer to the updated list of suspicious activity indicator at Appendix 2, in



particular item 7 of the list, for identifying suspicious transactions and ensuring compliance with the suspicious transactions reporting requirements.

6. Intermediaries and, where applicable, their associated entities should include the subject of NCCT with special emphasis on Myanmar in their staff training programmes in respect of money laundering.
7. Where practicable, intermediaries and, where applicable, their associated entities should help spread more widely information on NCCT, in particular that about Myanmar, to business relationships with the non-bank financial sector, business sector, intermediaries such as lawyers and accountants and so on. This is to complement Government's efforts to disseminate information on the NCCT process, and Myanmar which is a NCCT jurisdiction subject to counter-measures, to the general public. The subject of NCCT, in particular information about Myanmar, should also be highlighted, where appropriate, in money laundering related fora or presentations given by intermediaries and, where applicable, their associated entities.
8. To enhance awareness on Myanmar and other NCCTs, attention of staff of intermediaries and, where applicable, their associated entities should be drawn to the websites of the FATF, the Narcotics Division of the Security Bureau, the JFIU and other financial regulators where the background and latest developments of NCCT, in particular Myanmar, which is a NCCT jurisdiction subject to FATF counter-measures are published.



**Updated List of Suspicious Activity Indicators
Commonly Associated with Money Laundering in Hong Kong**

1. Large or frequent cash transactions, either deposits or withdrawals.
2. Suspicious activity based on transaction pattern, i.e.
 - (a) Account used as a temporary repository for funds.
 - (b) A period of significantly increased activity amid relatively dormant periods.
 - (c) “Structuring” or “Smurfing” i.e. many lower value transactions conducted when one, or a few, large transactions could be used. Seen particularly in incoming remittances from countries with value based on transaction reporting requirements, e.g. frequent remittances of just below AUS\$10,000 from Australia, or US\$10,000 from USA.
 - (d) “U-turn” transactions, i.e. money passes from one person or company to another, and then back to the original person or company.
 - (e) Increased level of account activity on the first banking day after Hong Kong horse racing, normally Mondays and Thursdays, indicating illegal bookmaking.
3. Involvement of one or more of the following entities which are commonly involved in money laundering:
 - (a) Shelf, or Shell Companies.
 - (b) Company registered in a known “Tax Haven” or “Off-shore Financial Centre”.
 - (c) Company Formation Agent, or Secretarial Company, as the authorized signatory of the bank account.
 - (d) Remittance Agency or Money Changer.
 - (e) Casino.
4. Currencies of, or entities (personal or corporate) associated with, or nationals of the following High Risk countries:
 - (a) Those countries which are commonly associated with drug trafficking, drug production, fraud and money laundering;
 - (b) Those countries which have been identified as having serious deficiencies in their money laundering regimes. These countries include, but are not limited to,



the 9 NCCTs identified by the FATF as at November 2003, i.e. Cook Islands, Egypt, Guatemala, Indonesia, Myanmar, Nauru, Nigeria, the Philippines and Ukraine. Special attention should be given to Myanmar which has been subject to FATF counter-measures since it does not put in place significant anti-money laundering legislation to address the money laundering concerns identified by the FATF.

5. Customer refuses, or is unwilling, to provide explanation of financial activity, or provides explanation assessed to be untrue.
6. Activity is incommensurate with that expected from the customer considering the information already known to the intermediaries and, where applicable, their associated entities about the customer and the customer's previous financial activity. (For personal accounts consider customer's age, occupation, residential address, general appearance, type and level of previous financial activity. For company accounts consider type and level of activity).
7. Significant deviations from the expected level and nature of activities of customers (ascertained upon account opening) should be followed up and reported to the JFIU immediately if deemed appropriate.
8. A client or investor introduced by an overseas bank, affiliate or other client or investor both of which are based in Myanmar.